

Stock Analysis Report: ASDM

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Overall Verdict: MODERATE

ASDM presents a classic value trap scenario where deep valuation metrics clash with deteriorating fundamentals; while the stock trades significantly below book value offering a margin of safety, the severe collapse in net income and unsustainable dividend payout ratio pose substantial risks to capital preservation.

Valuation

Summary: Undervalued based on asset backing but fairly valued on earnings.

Reason: The stock trades at a Price-to-Book Value of 0.56, suggesting it is undervalued relative to its assets, however the PE ratio of 11.17 is higher than the market median of 8.94, and the negative PEG ratio indicates that the earnings contraction is already priced in, making the valuation attractive only for asset-play investors rather than growth seekers.

Per Share

Summary: Strong book value support but weakening earnings power.

Reason: With a book value per share of 945.12 against a current price of 525.00, shareholders have significant asset backing, but the earnings per share of 47.01 is under threat due to the negative growth trend, indicating that the per-share value creation is currently negative despite the strong balance sheet cushion.

Solvency

Summary: Bad

Reason: The company exhibits high financial leverage with a total liabilities to equity ratio of 1.47 and a financial leverage of 2.47, compounded by a negative free cash flow in the most recent quarter, which raises concerns about its ability to service debt and fund operations without external financing.

Management Effectiveness

Summary: Moderate

Reason: While the Return on Invested Capital is impressively high at 32.25%, the Return on Equity and Assets are low at 4.97% and 2.01% respectively, suggesting that management is generating returns on specific investments but failing to translate that into overall company efficiency or shareholder equity growth.

Profitability

Summary: Bad

Reason: The net profit margin is extremely thin at 1.56%, and the operating profit margin of 111.57% is an accounting anomaly that likely includes non-operating income, masking the core business's inability to generate sustainable profits from its primary operations.

Growth

Summary: Bad

Reason: Growth prospects are severely compromised with a net income year-over-year growth of -87.18%, indicating a fundamental breakdown in earnings power, while revenue growth remains stagnant at 5.14%, offering no hope for near-term top-line expansion to offset the profit collapse.

Dividend

Summary: Bad

Reason: Although the dividend yield is attractive at 9.52%, the payout ratio of 106.37% is unsustainable as the company is paying out more than it earns, signaling a high probability of a dividend cut in the future which could further depress the stock price.

Income Statement

Summary: Bad

Reason: The income statement reveals a critical deterioration with net income dropping to 18 billion from previously higher levels, and the discrepancy between high operating margins and low net margins suggests excessive non-operating expenses or taxes are eroding shareholder value.

Balance Sheet

Summary: Moderate

Reason: The balance sheet shows total assets of 897 billion against liabilities of 534 billion, providing a positive equity cushion of 363 billion, but the high liability ratio and low cash position of 11 billion limit financial flexibility in a downturn.

Cash Flow

Summary: Moderate

Reason: While the trailing twelve-month free cash flow is positive at 12 billion, the most recent quarter shows negative free cash flow of 14 billion, indicating a recent deterioration in cash generation capabilities that needs to be monitored closely for liquidity risks.

Performance

Summary: Bad

Reason: Recent price performance is negative with a 1-week and 1-month return of -13.93%, confirming a breakdown in market sentiment, and the stock is trading near its 52-week low, indicating weak momentum and lack of buyer interest at current levels.

Price Action

Metric	Value
Current Price	525.0
Fair Value	540.0
Support 1	525.0
Support 2	480.0
Resistance 1	600.0
Resistance 2	630.0

Overall Summary

The stock is a high-risk value play suitable only for investors comfortable with potential dividend cuts and further earnings volatility, as the deep discount to book value is currently outweighed by the severe fundamental deterioration and negative price momentum.